

Term paper FIE401

Candidates: 251, 269, 275, 380

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NHH



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1 Abstract

2 Intro

3 Data

4 Analysis

Table 4.1: Table 1A: Summary Statistics - SMI

	n	mean	median	sd	min	max
spread	16,588	0	0	0	0	0.004
log_mcap	16,588	3.356	3.165	0.975	1.459	5.657
turnover	16,588	0.902	0.721	0.665	0.119	7.140
btm	16,588	0.527	0.349	0.507	0.057	2.892
leverage	16,588	121.120	60	143.687	0	601.210

Table 4.2: Table 1B: Summary Statistics - CAC40/DAX30

	n	mean	median	sd	min	max
spread	64,160	0.002	0.001	0.002	0	0.012
log_mcap	63,909	3.166	3.114	0.995	0.839	5.657
turnover	63,909	0.569	0.336	0.971	0	7.140
btm	63,909	0.887	0.528	1.039	0.057	6.551
leverage	63,909	134.886	81.480	146.167	0	835.320

Table 4.3: Table 2: Pre-period Comparison — SMI vs. CAC40/DAX30

<i>Dependent variable:</i>					
	spread				
	(1)	(2)	(3)	(4)	(5)
SMI	−0.002*** (0.0002)	0.098 (0.233)	0.381*** (0.120)	−0.318** (0.142)	−10.915 (32.278)
Pre-period	Yes	Yes	Yes	Yes	Yes
Cluster SE	By stock	By stock	By stock	By stock	By stock
Observations	13,010	13,010	13,010	13,010	13,010
R ²	0.099	0.002	0.032	0.023	0.001
Adjusted R ²	0.099	0.002	0.032	0.023	0.001

Note:

*p<0.1; **p<0.05; ***p<0.01

Table 4.4: Table 3: Effect of Market Consolidation on Stock Liquidity

	<i>Dependent variable:</i>	
	Bid-Ask Spread	
	(1)	(2)
SMI $\times$ Post	0.0002* t = 1.698	0.0003** t = 2.186
log(Mcap)		-0.001*** t = -3.225
Turnover		-0.0003*** t = -4.344
BTM		0.0001 t = 0.544
Leverage		-0.00000 t = -0.247
Observations	80748	80484
Stock FE	Yes	Yes
Day FE	Yes	Yes
Cluster SE	By stock	By stock
Adjusted R ²	-0.010	0.011
<i>Note:</i>	*p<0.1; **p<0.05; ***p<0.01 *** p<0.01, ** p<0.05, * p<0.1.	

5 Conclusion